

and other emerging markets are facing is that there is zero interest in international [markets] in America today, from an investing perspective. Because they look at the returns of the last 10-15 years and feel that the American stock market has given them incredible returns, [and] no other country has been able to stand up to it. India is the best-performing emerging market, and its returns are barely the same as America. But obviously people see much greater risk in going abroad, so they don't feel that they've been compensated enough for the risk. The real challenge is that, when will this turn? Unfortunately, we are in a paradigm today where you need something to crack in America, because of the fiscal situation they have, running these massive budget deficits; if the dollar starts to weaken because people begin to lose confidence in America's ability to finance its deficit. Unless something like that happens, America and the world are going to remain very obsessed with just US investments and the prospect for foreign flows coming into these countries will remain pretty grim.

42 | Q: Countries like Russia and China are working towards de-dollarisation. And after the sanctions on Russia, there's genuine concern about keeping foreign exchange outside in dollars. And the US is running up incredibly high deficits. How do you see this play out?

A: I think this process of moving to a currency away from the dollar is a very long-term process. That started, I think, with the sanctions on Russia... But I think the real issue is going to be that when is the global marketplace going to start caring about these incredible American deficits? And the data here is really staggering, which is the fact that the US today is running a Budget deficit of more than 6% of GDP. There is no other developed country, or OECD country, running a Budget deficit as large... that in the short term, is artificially boosting economic growth. But when will the realisation creep in that this is not sustainable?

Every other country in the past few years has faced some sort of backlash from the bond market whenever they've run such high deficits. It used to be said that this is an emerging market problem, but now the UK and France [too] have seen the budget deficit approaching 6% of GDP. They have been facing a lot of push back, and they've been forced to increase taxes and cut spending. I think that the key issue for the next year is going to be that, when does the American bond market react and that's the only check and balance left on Trump... **I think the untold story of this election is that there's only one check and**



“I’ve said this about India, and I’ve said this consistently... that this is a country that consistently disappoints the optimists and the pessimists”

balance, in a way, which is left, and that, for me, is the bond market...

Q: What's your understanding of bond traders? Do you think they'll be more vigilant about what's happening in the US?

A: America used to run Budget deficits of over 3% of GDP for the last 20 years. **In fact, America, in its first nearly 250 years since independence, accumulated about \$17 trillion in debt. In the last 10 years, they've accumulated another \$17 trillion.** This trajectory has gone vertical, and I think that this is where the big risk lies for America. And my suspicion is that in the next few months, possibly in 2025, the bond market is going to start to revolt because they're going to see that Trump's going to keep pushing for more tax cuts, or letting spending increase, because there's no incentive for him not to do that, until the bond market revolts.

Q: A lot of the growth in the Indian markets has been supported by domestic financial institutions, particularly mutual funds. Given this context, what will be the trajectory of